

COMPLIANCE METHODOLOGY

Client Risk Profiling Methodology | Document ID: CMP-003
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1. Purpose

This methodology document defines how Horizon Wealth Management derives a client's risk profile tier (Conservative, Balanced, Growth, or Aggressive) from the Risk Profile Questionnaire (RPQ) and supporting documentation. It is the scoring mechanism that underpins the suitability checks described in the Suitability & Compliance Policy (Document CMP-001).

This document is intended for use by RMs, the Compliance Office, and the RM Copilot system in applying a consistent, defensible methodology for risk profile determination across the firm's entire client base. Consistency in this methodology is foundational to the integrity of the firm's broader suitability framework, since every downstream suitability check described in Document CMP-001 depends on an accurate, current, and consistently-derived risk profile tier.

The methodology described in this document reflects an evolution of industry-standard approaches to risk profiling, informed by both regulatory expectations regarding suitability assessment and the firm's own internal experience refining the framework since its initial 2019 publication. The four-section, weighted-composite-score approach described in Section 2 and Section 3, combined with the override rule safeguards described in Section 4, is designed to balance the benefits of a structured, consistent, and auditable methodology against the recognized limitations of relying on a purely mechanical scoring approach without appropriate safeguards for known edge cases.

2. Risk Profile Questionnaire Components

The RPQ is composed of four weighted sections:

Section	Weight	Description
Time Horizon	25%	Years until funds are needed for the stated goal
Loss Tolerance	35%	Client's stated and tested reaction to hypothetical drawdown scenarios
Financial Capacity	25%	Income stability, liquid net worth, and existing obligations
Investment Knowledge & Experience	15%	Familiarity with asset classes and prior investment behavior

2.1 Time Horizon Section Detail

The Time Horizon section assesses the number of years until the client expects to need the funds under consideration for the stated investment goal. This section recognizes that a single client may have multiple, distinct time horizons for different pools of capital — for example, a near-term home purchase fund alongside a long-term retirement fund — and the RPQ is designed to be completed separately for each distinct goal where a client's overall wealth is meaningfully segmented by purpose

and time horizon, rather than producing a single blended time horizon score that could obscure materially different suitability needs across different pools of the client's capital.

2.2 Loss Tolerance Section Detail

The Loss Tolerance section, carrying the highest weight of the four RPQ components, presents the client with a series of hypothetical portfolio decline scenarios of varying magnitude and asks the client to indicate their most likely reaction, ranging from selling the affected holdings to maintaining the position to viewing the decline as a buying opportunity. This section is designed to elicit the client's genuine emotional and behavioral response to loss, which research in behavioral finance has shown can differ meaningfully from a client's stated, abstract risk tolerance when not grounded in a concrete scenario.

2.3 Financial Capacity Section Detail

The Financial Capacity section assesses the client's objective ability to bear investment risk, independent of their psychological willingness to do so, captured separately in the Loss Tolerance section. This section considers income stability and source diversification, the proportion of liquid net worth represented by the assets under consideration, and existing financial obligations such as debt service requirements or anticipated major expenses that could affect the client's capacity to withstand a prolonged market downturn without needing to liquidate investments at an inopportune time.

2.4 Investment Knowledge and Experience Section Detail

The Investment Knowledge and Experience section, carrying the lowest weight of the four components, assesses the client's familiarity with various asset classes and their prior investment behavior history. This section carries a lower weight than the other three components reflecting the firm's view that investment knowledge alone should not be the primary driver of risk profile classification — a knowledgeable investor with low loss tolerance should not be classified into a higher risk tier purely on the basis of their investment knowledge, and conversely, a less experienced investor with genuine high loss tolerance and long time horizon should not be artificially capped at a lower risk tier purely due to limited prior investment experience, though the firm's new-investor cap described in Section 4 does apply a separate, time-limited safeguard for first-time investors specifically.

3. Scoring and Tier Assignment

Each RPQ section produces a sub-score on a 0-100 scale. The weighted composite score determines the initial tier assignment as follows:

Composite Score Range	Assigned Tier
0 - 24	Conservative
25 - 49	Balanced
50 - 74	Growth
75 - 100	Aggressive

3.1 Sub-Score Calculation Methodology

Each section's sub-score is calculated based on the client's responses to a structured set of questions within that section, with each response option assigned a points value calibrated during the methodology's initial development and periodically reviewed by the Compliance Office and an external behavioral finance consultant retained for this purpose. The points values are designed such that a client's most conservative possible response pattern across a section yields a sub-score near 0, while the most aggressive possible response pattern yields a sub-score near 100, with intermediate response patterns yielding correspondingly intermediate sub-scores.

3.2 Composite Score Weighting Application

The composite score is calculated as the weighted sum of the four section sub-scores, using the weights described in Section 2. For example, a client with sub-scores of 60 (Time Horizon), 40 (Loss Tolerance), 70 (Financial Capacity), and 50 (Investment Knowledge) would receive a composite score of $(60 \times 0.25) + (40 \times 0.35) + (70 \times 0.25) + (50 \times 0.15)$, or $15 + 14 + 17.5 + 7.5$, totaling 54, which would map to a Growth tier assignment under the ranges described above.

3.3 Additional Worked Calculation Examples

To further illustrate the weighting methodology described in Section 3.2, the following table presents several additional illustrative client sub-score combinations and their resulting composite scores and tier assignments, before consideration of any override rules described in Section 4.

Time Horizon	Loss Tolerance	Fin. Capacity	Knowledge	Composite	Tier (pre-override)
20	15	25	30	20.25	Conservative
45	35	50	40	41.75	Balanced
65	55	60	55	59.50	Growth
90	85	80	75	83.50	Aggressive
80	20	85	60	55.25	Growth (subject to Loss Tolerance override)

The final row in the table above illustrates a case where the composite score alone would suggest a Growth tier assignment, but the Loss Tolerance sub-score of 20 falls within the bottom quartile threshold described in Section 4, triggering the override rule that caps the client's final tier at Balanced absent written acknowledgment of the discrepancy, consistent with the worked example discussed in greater detail in Section 9.1.

4. Override Rules

The composite score is a starting point, not a final determination. The following override rules apply regardless of composite score:

- A Loss Tolerance sub-score in the bottom quartile caps the final tier at Balanced, regardless of composite score, unless the client provides written acknowledgment of the discrepancy.

- Clients within 5 years of a stated retirement or major liquidity event are capped at Balanced unless they explicitly opt for a higher tier in writing, citing other available capital.
- First-time investors with no prior market experience are capped at Balanced for the first 12 months, after which the profile is re-assessed.
- Any client-requested tier that exceeds the RPQ-derived tier requires a signed Risk Acknowledgment Form and DH2-level review before being entered into the system of record.

4.1 Rationale for Override Rules

These override rules exist to address known limitations of a purely composite-score-driven approach to risk profiling. The Loss Tolerance floor, for example, reflects the firm's view that a client's demonstrated low tolerance for loss should not be overridden by strength in other RPQ components, since the psychological and financial consequences of a client experiencing a loss beyond their genuine tolerance can be severe, both for the client's financial wellbeing and for the firm's relationship with the client. The pre-retirement cap similarly reflects a recognition that time horizon, while formally captured in the RPQ's Time Horizon section, warrants an additional explicit safeguard given the asymmetric consequences of a significant portfolio decline shortly before a client's funds are needed for retirement income.

4.2 Client-Requested Tier Increases

Where a client requests a risk tier higher than their RPQ-derived assignment, the firm's process requires both a signed Risk Acknowledgment Form, documenting the client's specific understanding of the discrepancy between their assessed tier and requested tier, and DH2-level review confirming the request appears to reflect informed client choice rather than, for example, susceptibility to high-pressure sales tactics or a misunderstanding of the risks involved. This process is distinct from, and does not substitute for, the RPQ re-assessment process described in Section 5, since a client-requested override does not change the client's underlying RPQ-derived tier, which remains the operative baseline for future suitability assessments absent a formal re-assessment.

5. Re-Assessment Triggers

The risk profile must be re-assessed, ahead of the standard 24-month cycle, upon any of the following:

- A material change in income, net worth, or liquidity needs disclosed by the client
- A life event such as retirement, inheritance, divorce, or business sale
- A client request to materially deviate from products consistent with their current tier
- A portfolio review that surfaces a sustained mismatch between actual portfolio risk and documented tolerance

5.1 RM Responsibility for Identifying Re-Assessment Triggers

RMs bear primary responsibility for identifying when a re-assessment trigger has occurred during the course of ordinary client interactions, since many triggers — such as a disclosed life event — may only become apparent through conversation rather than through any systematic monitoring process. RMs

are expected to treat any of the triggers described above as a mandatory prompt to initiate re-assessment, not as a discretionary judgment call to be weighed against client convenience or the RM's own assessment of whether the trigger is likely to materially change the client's risk profile outcome.

5.2 System-Assisted Trigger Detection

Where feasible, the RM Copilot system assists in trigger detection by flagging conversational content that may indicate a re-assessment trigger, such as client mentions of retirement, inheritance, or significant life changes, surfaced to the RM as a suggested action rather than an automatic re-assessment, since the system's flagging capability is intended to support, not replace, RM judgment in this area.

6. Risk Acknowledgment and Documentation Requirements

Beyond the specific Risk Acknowledgment Form referenced in Section 4.2 for client-requested tier increases, the broader risk profiling process carries documentation requirements designed to support both regulatory compliance and the firm's ability to demonstrate the basis for any risk profile determination if later questioned by the client, Compliance, or a regulator.

6.1 RPQ Completion Documentation

Every RPQ completion, whether an initial completion or a re-assessment, must be documented with the date of completion, the channel through which it was completed (in-person, video, or written), the RM present at completion if applicable, and the client's signature or equivalent electronic confirmation of accuracy. RMs must not complete or modify RPQ responses on a client's behalf without the client's direct, contemporaneous input, even where the RM believes they know the client's likely responses based on prior conversations.

6.2 Override Documentation

Any application of the override rules described in Section 4 must be documented with the specific override rule applied, the rationale for application, and any required sign-off, consistent with the broader audit and logging requirements described in the Suitability & Compliance Policy (Document CMP-001, Section 9).

7. System Integration Notes

The RM Copilot system must treat the risk profile tier stored in the client record as authoritative and must not infer or override a client's risk tier from conversational context, prior holdings, or RM assumption. If the stored tier is missing, expired, or flagged for re-assessment, the system must route the request to a Needs Review compliance status rather than proceeding with a default assumption.

7.1 Handling of Ambiguous or Conflicting Signals

Where the RM Copilot system detects conversational content that appears inconsistent with a client's documented risk tier — for example, a Conservative-profile client expressing strong interest in high-volatility products — the system should flag this inconsistency to the RM as a potential

re-assessment trigger per Section 5, rather than either silently proceeding with the documented tier or silently adjusting its behavior based on the conversational signal. The system's role is to surface potentially relevant information to support RM judgment, not to autonomously resolve ambiguity in risk profile determination.

7.2 Data Freshness Validation

The system must validate RPQ freshness (the 24-month standard cycle referenced throughout this document) at the point of each suitability assessment, not merely at login or session start, since a client's RPQ could expire during the course of an extended client relationship management session, particularly for clients whose RPQ anniversary falls during an active conversation.

8. Methodology Validation and Calibration

The scoring methodology described in this document is subject to periodic validation to ensure it continues to produce risk tier assignments consistent with the firm's intended risk classification framework and with evolving regulatory expectations regarding suitability assessment practices.

8.1 Annual Calibration Review

The Compliance Office, together with an external behavioral finance consultant, conducts an annual calibration review of the RPQ scoring methodology, examining the distribution of resulting risk tier assignments across the client base, the frequency of override rule application described in Section 4, and any patterns suggesting the methodology may be systematically over- or under-classifying certain client segments relative to their genuine risk tolerance and capacity.

8.2 Methodology Change Process

Any proposed change to the scoring methodology, including changes to section weights, point values for specific response options, or composite score range boundaries, requires approval from both the Compliance Office and the Head of Wealth Management, and must be accompanied by an impact analysis estimating how many existing clients' risk tier assignments would change under the proposed methodology, given the significant downstream suitability implications of any such change.

9. Common Scenarios — Worked Examples

This section provides worked examples to support consistent application of this methodology across common scenarios encountered by RMs.

9.1 Example: High Composite Score with Low Loss Tolerance

A client's RPQ responses produce sub-scores of 80 (Time Horizon), 20 (Loss Tolerance), 75 (Financial Capacity), and 70 (Investment Knowledge), yielding a composite score of approximately 56, which would map to a Growth tier under the standard ranges. However, since the Loss Tolerance sub-score of 20 falls within the bottom quartile, the override rule described in Section 4 applies, capping the client's final tier at Balanced absent written acknowledgment of the discrepancy.

9.2 Example: Near-Retirement Client with High Risk Tolerance

A client aged 62, planning to retire in 3 years, completes the RPQ with responses suggesting a high composite score consistent with an Aggressive tier classification absent any override. Since the client is within 5 years of a stated retirement, the pre-retirement override rule described in Section 4 caps the client's tier at Balanced unless the client explicitly opts for a higher tier in writing, citing other available capital beyond the assets under consideration for this specific RPQ.

9.3 Example: First-Time Investor

A client with no prior investment experience, completing their first-ever RPQ, produces sub-scores that would otherwise map to a Growth tier classification. Per the new-investor cap described in Section 4, the client's tier is capped at Balanced for the first 12 months following RPQ completion, after which the profile is formally re-assessed, potentially resulting in a higher tier assignment if the client's subsequent RPQ responses continue to support it.

10. RM Training Requirements for RPQ Administration

Given the central role the RPQ plays in the firm's broader suitability framework, all RMs are required to complete specific training on RPQ administration before being authorized to conduct RPQ sessions with clients, whether for initial completion or re-assessment.

10.1 Initial Certification

Initial RPQ administration certification covers the methodology described throughout this document, including the weighting framework in Section 2, the override rules in Section 4, and the re-assessment trigger framework in Section 5. Certification includes a practical assessment component in which the RM must correctly apply the methodology, including relevant override rules, to a series of standardized client scenarios before certification is granted.

10.2 Common Administration Pitfalls

RM training specifically addresses several common pitfalls observed in RPQ administration, including the tendency to rush through the Loss Tolerance section, given its more involved scenario-based question format relative to the more straightforward factual questions in other sections, and the tendency to inadvertently lead clients toward a particular response through tone of voice or framing when reading scenario-based questions aloud during in-person or video RPQ sessions. RMs are trained to present scenario-based questions in a neutral, consistent manner across all client sessions, consistent with the methodology's design assumption that variation in resulting sub-scores reflects genuine differences in client risk tolerance rather than variation in question presentation.

11. Cross-References to Related Documents

This methodology document operates as part of a broader suitability and compliance framework, and RMs should be familiar with how it relates to other key documents in that framework.

11.1 Relationship to the Suitability & Compliance Policy

The risk tier output produced by this methodology serves as the primary input into the suitability assessment workflow described in the Suitability & Compliance Policy (Document CMP-001, Section

3). That policy assumes the risk tier provided is current and accurately derived per this methodology; any concern about the accuracy of a specific risk tier determination should be raised with the Compliance Office rather than informally adjusted by the RM during the suitability assessment process.

11.2 Relationship to the Restricted List

Several rules within the Restricted List (Document CMP-002) reference specific risk profile tiers directly, such as the structured product profile gate (Rule-003) and various concentration limits. The accuracy of the risk tier determination produced by this methodology is therefore directly relevant to the correct application of those Restricted List rules, reinforcing the importance of RMs following this methodology precisely rather than applying informal judgment in risk tier determination.

12. Data Privacy and Retention Considerations

RPQ responses contain sensitive personal financial information, including income details, net worth estimates, and psychological risk tolerance indicators, and are therefore subject to the firm's broader data privacy and retention policies in addition to the suitability-specific documentation requirements described in Section 6.

12.1 Access Restrictions

RPQ data is accessible only to the assigned RM, applicable supervisory and compliance personnel, and the RM Copilot system acting on behalf of the assigned RM, consistent with the broader client data access boundaries described in the Suitability & Compliance Policy (Document CMP-001, Section 7.2). RPQ data must never be used for purposes unrelated to suitability assessment, such as marketing segmentation, without separate, explicit client consent obtained through the firm's standard consent management process.

12.2 Retention Period

Completed RPQ records, including all historical versions reflecting prior re-assessments, are retained for the duration of the client relationship plus the seven-year period described in the audit and logging requirements of the Suitability & Compliance Policy (Document CMP-001, Section 9), to support the firm's ability to demonstrate the basis for historical suitability determinations if later required for regulatory or legal purposes.

13. Additional Worked Example: Joint Account with Diverging Preferences

A married couple completes a joint RPQ for a shared investment account. During the Loss Tolerance section, the two account holders provide noticeably different responses when asked individually, with one spouse indicating a willingness to tolerate significant short-term declines and the other indicating considerable discomfort with even moderate declines.

Per the joint account methodology described in Section 14 (Frequently Asked Questions), the firm requires the couple to reach a single, jointly-agreed response for each RPQ question rather than recording two separate response sets, since the resulting risk profile must apply to the single,

jointly-held account. RMs should facilitate this discussion neutrally, without steering the couple toward either spouse's preference, and should document that the recorded responses reflect a jointly-reached agreement rather than RM judgment about which spouse's risk tolerance should predominate. Where a couple cannot reach agreement on certain responses, the firm's standard practice is to default to the more conservative response for that specific question, consistent with the general principle that suitability frameworks should err toward protecting clients from unintentionally over-risking jointly-held assets.

14. Frequently Asked Questions (RM Reference)

Q: "What if a client refuses to complete certain RPQ sections?" — A: RMs should explain that a complete RPQ is required to establish a documented risk profile per this methodology, and that an incomplete RPQ cannot be used to support any product recommendation; the client must complete all four sections before any suitability-gated recommendation can be made.

Q: "Can two co-owners of a joint account have different risk profiles?" — A: For jointly held accounts, the firm requires a single, jointly-completed RPQ reflecting both account holders' input, rather than separate individual risk profiles for each holder, since suitability determinations for a jointly-held account must be assessed against a single operative risk tier for that account.

Q: "How does the RPQ handle clients with multiple, separately-titled accounts with different objectives?" — A: Per Section 2.1, the RPQ is designed to be completed separately for each distinct goal or account where time horizon and objectives differ meaningfully, allowing different accounts belonging to the same client to carry different documented risk profiles where appropriate.

Q: "What happens if a client's composite score falls exactly on a tier boundary?" — A: Composite scores falling exactly on a boundary (for example, exactly 25 or exactly 50) are assigned to the higher of the two adjacent tiers, consistent with the inclusive lower-bound convention used in the scoring table in Section 3.

15. Glossary of Key Terms

Composite Score: The weighted sum of a client's four RPQ section sub-scores, used to determine the initial risk tier assignment before any override rules are applied, as described in Section 3.

Loss Tolerance: The client's stated and behaviorally-tested reaction to hypothetical portfolio decline scenarios, carrying the highest weight among the four RPQ sections, as described in Section 2.2.

Override Rule: A predefined rule that may adjust a client's composite-score-derived risk tier assignment based on specific circumstances such as proximity to retirement or limited investment experience, as described in Section 4.

Re-Assessment Trigger: A defined event or circumstance that requires a client's risk profile to be formally re-assessed ahead of the standard 24-month cycle, as described in Section 5.

Risk Acknowledgment Form: A signed document required when a client requests a risk tier higher than their RPQ-derived assignment, documenting the client's understanding of the discrepancy, as described in Section 4.2.

Sub-Score: The 0-100 scale score produced by each of the four RPQ sections individually, before weighting and combination into the composite score, as described in Section 3.1.

16. Document Control and Revision History

Version 1.0 — 2019-03-01 — Initial publication

Version 2.0 — 2023-01-15 — Added system integration notes following RM Copilot system development

Version 3.0 — 2026-01-01 — Expanded edition; added detailed section-level methodology, calibration review process, worked examples, and glossary

This document is reviewed at minimum annually by the Compliance Office, with the annual calibration review described in Section 8.1 informing potential methodology updates. RMs should always confirm they are referencing the current version via the internal compliance documentation portal.